TELEPHONE (855) 213-6300 • FAX (855) 777-0039
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MEMORANDUM REGARDING

FUNDING YOUR TRUST

Your Revocable Living Trust has been prepared. After you have signed it, you must transfer title of all your assets (other than assets governed by beneficiary designation) to the name of the Trust in order for it to function properly. The process of transferring title to the name of the trust is called "Funding" your trust.

What You Must Do:

Introduction

It is very important that your trust be properly funded during your lifetime in order to take advantage of its benefits. The purpose of this Memorandum is to increase your understanding of what actions you will take to fund your trust.

A word at the outset. Your GeauxPlans Living Trust is "revocable," not irrevocable. While a revocable trust will avoid the cost, administrative burden, and delays of probate (referred to as a "succession" in Louisiana, as well as enhanced control over assets in the event of disability, a revocable trust *does not provide asset protection* from lawsuits or nursing home poverty. A revocable trust from GeauxPlans is not appropriate if any of the following apply:

- You seek lifetime asset protection from lawsuits or nursing home poverty;
- You and your spouse will NOT have identical or reciprocal provisions for each other;
- You wish to impose restrictions upon the remarriage of a surviving spouse;
- Your assets exceed the current Federal estate tax exemption, which is $11.7 million per person (as of January 1, 2021), subject to any future amendments, modifications, or indexing after January 1, 2021;
- You have a beneficiary with special needs;
- You have a Forced Heir under Louisiana law;
- You have a beneficiary that is Medicaid qualified or receiving other need-based governmental benefits;

- You need a protective trust for your spouse, children, grandchildren, or other heirs to provide continuing asset protection rather than staged outright distributions.

As a reminder, you may upgrade your GeauxPlans revocable trust to an attorney-prepared trust-based estate plan with Theus Law Offices and receive a 100% credit of your GeauxPlans fee within one year of your initial purchase from GeauxPlans.

Note, you should not transfer ownership of any retirement accounts to your trust, as these types of investments should remain outside the trust, otherwise unintended income tax consequences might result. Even though your retirement accounts should not be owned by your trust, an attorney-prepared trust can provide future opportunities to name a trust as one of the beneficiaries of a retirement account. For example, under a recent United States Supreme Court case, if you leave retirement accounts directly to an individual, those funds may be at risk to your beneficiary's creditors. If you later amend your GeauxPlans Living Trust (by upgrading to an attorney-prepared irrevocable asset protection trust), you could try to protect those retirement funds by naming a properly drafted irrevocable trust as the beneficiary.

With regard to Funding, all transfers of ownership to your trust must be accomplished by executing the appropriate instruments of transfer effective for state law purposes. For example, real estate should be transferred to the trust by a deed, bank accounts by changing the name on the accounts, and stock certificates not in "street name" by issuing new certificates in the name of the trust.

The actual retitling of the assets can only be done by you as the account owner. Therefore, you are ultimately responsible for delivery of necessary change forms to the financial institution or account holder, as well as confirmation that change of ownership and/or beneficiary designations have been completed. Failure to do so will defeat a substantial purpose of your Living Trust, namely to avoid probate (referred to as a "succession" in Louisiana). If you need assistance with the Trust Funding process, you may upgrade your GeauxPlan to an attorney-prepared trust-based estate plan with Theus Law Offices. If you upgrade within one (1) year of your initial purchase, you will receive a 100% credit of your GeauxPlans fee.

Although this memorandum is intended to assist you in funding your trust, it is not all-inclusive. We hope it is beneficial in highlighting some of the significant steps in funding your trust. If you have any questions regarding your trust, please feel free to contact us.

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Name of your Trust: **David & Judith Deal Living Trust**

Date of your Trust: ________________________

Tax Identification Number of your Trust: **Your Social Security Number**

Name of your Trustee: **David Lamar Deal and Judith Martin Deal**

Name of the Settlors/Grantors: **David Lamar Deal and Judith Martin Deal**

How to Name Assets Owned by Your Trust

Assets which are intended to be owned by your trust can be named a number of ways. Occasionally banks and other custodians of trust assets will use a modified version of the name of your trust which will include the names of the Trustees of your trust. Your trust grants the Trustee broad authority to choose a name for your Trust when setting up bank and other accounts. When possible, you should opt for naming an account with as much information as possible. All of the following options will adequately identify your trust.

Example 1: "David & Judith Deal Living Trust"

Example 2: "David & Judith Deal Living Trust", by "David Lamar Deal and Judith Martin Deal, Trustees"

Example 3: "David Lamar Deal and Judith Martin Deal, Trustees", for the "{[TrustName1]"

Example 4: "David Lamar Deal and Judith Martin Deal, Trustees", for the "David & Judith Deal Living Trust", under Trust Agreement dated ________________________.

Extract of Trust

When you transfer assets to your Trust and when you as Trustee buy or sell various assets owned by the Trust, the people with whom you will be dealing will need verification that your trust actually exists and that the Trustee has the authority to act on behalf of the trust. If you do not want to provide an entire copy of the Trust Agreement, as you may not want other people to be able to read the provisions of your private trust document, you may instead use a copy of an "Extract of Trust" to provide the requesting party with this information. You will find an Extract of Trust with your Trust documents. If you are asked to submit a "Certificate of Trust" or "Affidavit of Trust" these are simply other names for an Extract of Trust. Some banks and financial institutions have their own form for requesting this information. If so, you should be able to get the information they require from the Extract of Trust found with your Trust documents. The Extract of Trust enables you to avoid disclosing the particulars of your estate plan because it discloses only the information which is necessary. You may find that you will be using this document repeatedly over the years as trust assets are bought and sold or new accounts are opened in the name of your Trust. On the other hand, the document may not be accepted at all banks, brokerage houses, and other businesses, so you may be required to provide parts or all of the Trust when opening a new account or transferring property to the Trust.

Tax Considerations for Your Trust

Your Trust is designed to be a pass-through entity for income tax purposes. In other words, all income and expenses will be taxed directly to the two of you (if married) as if the Trust did not exist. Therefore, you can use either of your social security numbers as the tax identification number of the Trust while both of you are alive, and you can report trust income on your individual or joint income tax returns (Form 1040).

Pages 1-2 of your trust contain the following language which is also contained on the Extract of Trust. It should be given to your CPA, bank, or financial institution to avoid incorrect tax reporting for this trust.

> This Trust is being established as a grantor trust. Pursuant to federal income tax law, a grantor trust is not required to have a separate identification number. See, IRC Sections 671-678. The identification number for a grantor trust is the Settlor's social security number. See, IRC Regulation 1.671-3(a)(1).
>
> The Settlor of a grantor trust should be treated as the owner of the trust for tax reporting purposes because the Settlor has retained control of the assets transferred to the trust. See, IRC Sections 674-677. Also, federal income tax law specifically states that a grantor trust income tax return should not be filed, and all income should be reported on the personal 1040 income tax return for Settlor. See, IRC Regulation 1.671-4.

Funding Various Types of Assets

Different types of assets are funded in different ways. The following sections will outline the general funding procedures for a variety of asset types as well as some special issues that you should be aware of. Although you may not own all of the assets identified below, we have included a summary description of each asset type as an aid for you should you acquire a new type of asset you have not previously owned.

Cash Accounts

In General: Cash Accounts would include bank and credit union accounts. They are funded by initially contacting the financial institution and requesting that title to the account be changed to the name of your trust. Note: some institutions may have different internal procedures for changing title. Most financial institutions will simply require the Extract of Trust we prepared and signing a new signature card. You are usually able to continue to use the same account number on your checks.

We recommend that you check your account statements from the various institutions to verify that they reflect your Trust (or you as Trustee) as the proper owner.

The following is a summary of the steps you must take to transfer ownership of accounts to your Trust:

Local Institutions

1. Talk to a person at the New Accounts desk (or your private banker).

2. Ask to have the title on your account(s) changed to the name of your Trust. If your Trust names more than one trustee, you should point out that any one Trustee may transact business on behalf of the trust alone, and therefore, the signature cards should only require one signature for bank transactions. If the bank permits it, ask to keep the same account numbers on your account(s). Also, request that your checks remain printed as they are and not in the name of your Trust. Having the name of your Trust on your checks will not cause you any difficulties, but it will mean that persons or businesses to whom you write checks will know you have a Trust.

3. The bank may want a copy of your Trust Agreement. If so, tell them you would prefer instead to give them the Extract of Trust we prepared for this purpose. The Extract of Trust shows the proper name for the account and that the Trustees have authority to open this type of account in the name of your Trust. The bank may not accept the Extract of Trust, but may instead require a copy of the Trust Agreement. You should then ask them to accept only the first page and the last two pages, as the other pages are of a personal nature. If they still insist on having a copy of the entire Trust Agreement, you can either provide it to them or find a different bank which does not have a similar requirement.

4. Sign the new signature cards. (You should not have to use the word "Trustee" as part of your signature.)

Out-of-Town Institutions

1. If you have a bank account at a financial institution out of town, send them a request to transfer your account to your Trust along with a copy of the Extract of Trust. Note though, some institutions may not accept the document and may want a copy of your entire Trust Agreement. Again, if you are asked to provide a copy of the entire Trust Agreement, ask them if they will accept only the first page and the last two pages, as the other pages are of a personal nature. If they still insist on having a copy of the entire Trust Agreement, you can either provide it to them or find a different bank which does not have a similar requirement.

2. When you receive the new signature card in the mail, make sure the Trust is properly listed as the owner, and sign it and send it back to the institution. (You should not have to use the word "Trustee" as part of your signature.)

3. If you have a brokerage account which is held by a firm whose offices are out of town, you should call your broker's toll free number to find out exactly what steps you must take. It will likely be necessary to have your signature guaranteed and that can be accomplished at the offices of most major brokerage firms or at certain commercial banks or trust companies. Call your local bank or brokerage firm to see if they provide this service. It is best to have a "Medallion" guarantee instead of a regular guaranteed signature. The brokerage firm will tell you what other forms will be needed in addition to the signature guarantee.

Certificates of Deposit

Most, but not all, financial institutions will change the certificate owner to a Trust without a penalty. If your financial institution will impose a penalty, you may want to wait until the certificate of deposit matures before changing it to your Trust. In addition, you should check with each of your financial institutions to make certain that all of your certificates of deposits have been properly styled in the name of your trust in a manner that will qualify for FDIC or FSLIC insurance coverage.

Real Estate

Deeds (donations) are required to convey interests in real estate to your Trust. We have provided you with one (1) Louisiana deed for a principal residence, with a reserved lifetime usufruct in order to retain the homestead exemption. In the future, should you acquire any additional real estate, you should title such real estate in the name of your Trust. You should obtain the assistance of an out-of-state attorney to transfer any non-Louisiana (Out of State) real estate into your Trust.

Further, with regard to each piece of real estate you transfer to your Trust, you may want to review the title insurance policy associated with each such property to determine whether title coverage will continue after the property has been transferred to your Trust and subsequently, after your Trust terminates and the property is distributed to your beneficiaries (or to trusts for their benefit). To obtain coverage, it may be necessary to secure an endorsement from the title insurance company, and an additional premium may be required. You should contact the title insurance company to determine whether any additional steps are necessary.

Homestead Exemption — Some Parish Assessors are requiring that you sign a new homestead exemption application after putting you home property into your living trust. We recommend that you check with the office of your Parish Tax Assessor and ask if they require that you sign a new homestead exemption application now that you have transferred your home into your living trust.

Casualty and Property Insurance

With regard to casualty and property insurance, you should consult with your insurance agent to make certain that transferring your home and other property into your Trust will not result in a business rating on your insurance policy causing an increase in your insurance premium. Also, you should ask your agent if your policies need to be amended to include and cover your Trust and all of its property. Sometimes this can be accomplished by adding your Trust as an additional insured to your policy, and for automobiles owned by the Trust, listing you as an insured driver.

Mortgaged Property

With regard to any mortgaged property, Federal law generally prohibits your lender or the holder of the mortgage from enforcing a "due on sale" clause with regard to most residential real properties transferred to a trust. Only residential properties that contain six or more dwelling units, as well as all commercial properties, could possibly have notes accelerated by the lender. Even though your home and other residences may fall under this exception, you should still inform your lender or lenders that you have transferred your property to your Trust so that they may change their records accordingly. If you have mortgaged, pledged or allowed a lien to be placed upon any real estate other than your home and any other residences that fall under the foregoing exception, you should first obtain the written permission of your lender or lenders prior to transferring such real property into your Trust. Permission for this type of transfer is regularly given, so you should have no problems with your lenders.

Motor Vehicles

It is generally not advisable to transfer ownership of your automobiles, recreational vehicles, and boats (referred to in this paragraph as "vehicles") to your Trust. Vehicles are a source of lawsuit liability and thus should not be placed the same trust as valuable assets as they may become at risk.

When necessary, we can create a separate vehicle trust that can avoid probate, for example, when blended families are involved.

Investment Accounts

In General: Investment Accounts include mutual funds, cash management accounts, and brokerage accounts. They are funded by initially contacting the financial institution and requesting that title to the account be changed to the name of the trust. Although each institution has different internal procedures for changing title, most institutions will require that change of ownership be completed by submitting a Change of Ownership form to the institution and providing an Extract of Trust. No matter what the format, most institutions will require the form be either witnessed, notarized, or medallion signature guaranteed.

Opening/Closing of Accounts: Like Cash Accounts, some institutions may require that the original account be closed and a new account be opened, while other institutions will simply change the name on the original account to reflect the new ownership in the trust.

Stocks and Bonds Not in "Street Name"

Most often, stocks and bonds are held in "Street Name" accounts, meaning the brokerage firm holds the securities in its "street name" so it is easier for you to trade. By changing the name on the account, you automatically change the beneficial ownership of all the securities in that account. However, many people hold the actual stock or bond certificates, and in such a case, it will be necessary to place the securities into a brokerage account in the name of your Trust or to re-register the securities so that they are in the name of your Trust.

Savings Bonds

The first step is to complete Treasury Department Form PDF 1851, Request to Reissue United States Savings Bonds to a Personal Trust. This form and instructions can be obtained on the internet at the following website: https://www.treasurydirect.gov/forms/sav1851.pdf. You must then mail the form, the original bond certificates, and a copy of your Extract of Trust as instructed. Importantly, you should make a copy of all of the documents before you mail them. As a further precaution, you should send the package via registered and insured mail. If the U.S. Treasury needs additional information to complete the transfer, they will notify you directly. It has become the U.S. Treasury's policy to not reissue physical bonds; instead, they will create an online account to hold and manage your bonds electronically. If you have not heard back from the U.S. Treasury within six weeks, you should follow up with another letter.

Closely Held Corporation Stock

If you own an interest in a closely held corporation (generally, a corporation that is not publicly traded), then it will be necessary to sign a Stock Assignment form and issue a new certificate in the name of your Trust. Often, the assignment language is found on the back side of the stock certificates. Once that step has been completed, the certificate should be canceled and attached to the stub in the corporation's stock record book, and a new certificate should be issued in the name of the trust. If you presently hold multiple stock certificates, all of those certificates can be combined into a single new certificate; however, if you have a different cost basis in the shares represented by multiple certificates, you may prefer to continue to have multiple certificates.

It may be the case that a buy-sell agreement is in place restricting the transfer of shares of stock you own in a closely held corporation. Most of the time, a buy-sell agreement will permit the transfer of closely held stock to a trust established for the benefit of the shareholder making the transfer. Even so, you will want to determine if a transfer to your Trust is permitted. If the buy-sell agreement does not permit any such transfer, then it will be necessary to amend the agreement or obtain the consent of the other shareholders.

Partnership Interests or LLC Interests

Each partnership has its own rules. If you are a partner in a limited partnership, you will need to contact the general partner, and subject to the limited partnership's rules, you should be able to retitle your partnership interest to the name of the Trust. It may be necessary to obtain the approval of some or all of the partners in the partnership before you are permitted to assign your interest to the Trust. The limited partnership may be able to provide you with the proper assignment form, but if they are not able to do so, please contact me. Upon receipt of a copy of the agreement of limited partnership, I will prepare an assignment form for you.

If you are a partner in a general partnership or limited liability company, you should contact the partner or member who manages the company and request that your interest be transferred to your Trust. Just as with an interest in a limited partnership, it may be necessary to obtain the approval of some or all of the other partners or members before you are permitted to assign your interest to the Trust. The general partnership or LLC may be able to provide you with the proper assignment form, but if they are not able to do so, please contact us.

Note, if you own a publicly traded partnership interest, you should be sure to determine what the cost will be to transfer your interest to the Trust. There are sometimes substantial fees that can be charged, and you may decide not to transfer that interest to your trust.

Mineral Interests

If you own any mineral interests, the record titleholder of such interests (e.g., royalty interests, working interests) needs to be changed to your Trust. We recommend that you assign your mineral interests into your Trust and obtain transfer orders and/or division orders from the purchasers of the production. The assignments should be filed in the parishes/counties where the properties are located and the division orders should be signed and sent to the oil companies. However, this task exceeds the scope of our initial engagement. We recommend that you consult with an oil and gas attorney to ensure that such assignments are properly made.

Promissory Notes

If you already have existing promissory notes which are payable to you personally, they should be endorsed or assigned to your Trust, and the party making the payments should be notified of the assignment with the request that future payments be made to the Trust. If there are any real property liens securing the payments of these notes, the liens should also be assigned to your Trust, and evidence of such assignment should be filed of record in the parish/county in which the property is located. In the future, if you should loan money to anyone, or if you sell property and the borrower or buyer gives you a promissory note for the purchase price, have that person make your Trust the "payee."

There is no need to send any portion of your trust document to the payee. If the next payment you receive is made out to your Trust, you will know the payee has received your letter and understands what needed to be done. If the next payment is made out to you personally, you should contact the payee one more time and ask that future payments be made out to the trust. Note, there is no real problem if the payee continues to make payments to you personally. Checks received by you personally can be deposited into one of your Trust accounts.

Safe Deposit Box

If you maintain a safe deposit box, you may want to change the registration to your Trust. If there are valuable assets in the box, you may want to transfer ownership of those to your Trust. Doing so may avoid a probate proceeding following death that would otherwise be required to open the box if no alternate person is named.

Life Insurance

Funding Life Insurance can involve the transfer of ownership of a policy, the change of beneficiary designation of a policy, or both. As a general Rule, ownership of a policy is usually changed when the policy has a cash value.

If there is no cash value in the policy, it may still be a good idea to transfer the ownership of the term policy to the trust. Many term policies allow the policy to be converted to a whole life policy without the need to verify insurability. In the event of the trust makers' incapacity, if the term policy is owned by the trust, the trustees could exercise the right to convert the policy to a whole life policy.

<u>Ownership of a policy is changed by:</u>

1. Completing the company's change of ownership form.

2. Attaching a change of ownership instruction letter or form signed by the policy owner regardless of whether there is cash value in the policy, the beneficiary designation should generally be changed to name the policy owner's trust as the primary beneficiary. This will allow the insurance proceeds to receive the benefits of estate tax planning, creditor protection, bloodline protection, and values promotion contained in the trust.

<u>Beneficiary Designation is changed by:</u>

1. Completing the company's change of beneficiary designation form

2. Attaching a change of beneficiary designation letter signed by the policy owner.

3. <u>Group Insurance Policies:</u>

Many employers provide group life insurance as an employee benefit. If your employer provides such benefits, contact your company human resources department for the appropriate forms necessary to change the beneficiary. Generally, the ownership of a group policy cannot be changed.

Special Funding Considerations:

Loans Against a Policy: Many policies that have a cash value allow the insured to borrow against the cash value. If a loan has been taken against the policy, the company may not allow the ownership of the policy to be changed until the loan is re-paid. Although this restriction may effectively prevent the funding of the policy ownership, most companies will allow for the change of beneficiary designation. If you are able to repay the loan, you may want to consider repaying it so that it can be re-titled to the trust.

Funding Insurance Policies of Divorced Clients with Minor Children: If you are divorced with minor children from the former relationship, it will be important to ascertain whether the divorce decree requires you to maintain a life insurance policy on your life for the benefit of your minor children. This is a common provision in many divorce decrees and is intended to assure that adequate financial resources would be available to support or educate a minor child to emancipation. We can discuss options available for funding insurance that is subject to a divorce decree.

Policies that are Collateral for a Loan: From time to time, you may have borrowed money from financial institutions. The loan may take many forms including an educational loan or line of credit. Frequently financial institutions have required a borrower to assign their life insurance proceeds to the financial institution as collateral for the loan. Transferring the ownership or changing the beneficiary designation may result in acceleration of the loan repayment. You need to contact the lender directly to ascertain what actions they will take if the policy is funded. Lenders may allow the loan to be assigned to the trust while other lenders may require the old loan to be replaced with a new loan naming the trust as the borrower. They will advise you of what options are available under these circumstances.

Some life insurance is purchased with retirement account or "qualified" funds. You should not transfer this type of life insurance to your trust, as these types of investments should remain outside the trust, otherwise unintended income tax consequences might result. Even though life insurance purchased with qualified funds will not be owned by your trust, your trust will provide future opportunities as long as, if appropriate, you choose your trust as one of the beneficiaries of the life insurance.

Annuities

In General: An annuity can be either commercial or private. A Commercial Annuity is a contract entered into with a company that sells financial products. The annuity contract of a commercial annuity will provide that the company will be obligated to make payments to the beneficiary for a specified period of time. The time period may begin immediately or it may not begin until some future time. Additionally, some commercial annuities will provide benefits after the death of the owner. Thus, when funding a commercial annuity, both the lifetime beneficiaries and the after death beneficiaries will need to be funded.

A Private Annuity is also a contract to make payments for a specified period of time. However, it is entered into between individuals and the payment obligations cease at the death of the recipient. Because payments only occur during the lifetime of the recipient, the private annuity does not have any death benefits that need to be funded. Accordingly, when funding a private annuity, only lifetime benefits need to be funded.

Limitations on Distribution Options: Changing the owner of the annuity to the trust may impact what distribution options are available under the annuity contract. Some annuity contracts provide that only a spouse or child of the annuity owner may select between different distribution options.

Accordingly, if a trust is named as the beneficiary, the trust may only be able to select from a limited number of distribution options.

Annuities that are Collateral for a Loan: Like life insurance, annuities can be used as collateral for a loan. If this is the case, we will follow the same procedures identified under Life Insurance above to prevent your loan from being accelerated.

Some annuities are purchased with retirement account or "qualified" funds. You should not transfer this type of annuity to your trust, as these types of investments should remain outside the trust, otherwise unintended income tax consequences might result. Even though an annuity purchased with qualified funds will not be owned by your trust, your trust will provide future opportunities as long as if appropriate, you choose your trust as one of the beneficiaries of the annuity.

Timeshares

In General: A timeshare is a form of ownership in a vacation residence that lasts for a specified period of time. How a timeshare is funded will depend on how the timeshare was created. The best starting point is to examine a copy of all documentation in your possession in relation to your timeshare. An examination of the documents should identify how the timeshare was created.

Types of Timeshares: Timeshares are created in one of three different methods; by license, lease, or deed.

Ownership by License: Ownership of a timeshare created by a license typically gives the owner the right to use a vacation unit at a specific resort during predetermined times during the year for a specified period of years. Some license agreements may require the consent of the company that owns the resort to provide written consent in advance of any assignments. You are most likely not the first owners that have requested to transfer their timeshare and your resort company may even have a standardized form to change the ownership.

Ownership by Lease: Ownership of a timeshare may also be created by a lease. The primary method of funding this type of timeshare is through an Assignment of Lease.

Ownership by Deed: Ownership of a timeshare may also be created by a deed. The primary method of funding this type of timeshare is through a new deed.

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Final Thoughts

Please remember that your trust will only have control over those assets which have actually been transferred to your trust by the funding process. The transfer of your assets to your trust is not complete until the name of the asset or name of the asset owner has been changed to the trust. ***Simply signing the trust and related documents is not enough***. You must follow through with the funding process for you trust to be of any benefit to you.

If you need any assistance or have any questions, please do not hesitate to contact us.

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